

JPM EUR Ultra-Short Income Active UCITS ETF

Tickers: JEST, JSET

Topline

Monthly returns	
Fund	Benchmark
▲ 0.11%	▲ 0.20%
Benchmark : ICE BofA 3-Month German Treasury Bill Index	
Markets Geopolitical developments remained a key market driver in July. Optimism following June’s US-Iran Memorandum of Understanding (MOU) proved short-lived as tensions in the Middle East re-escalated, reigniting concerns over energy supply and inflation. At its July meeting, the European Central Bank left the deposit facility rate unchanged at 2.25%, as expected. However, front-end yields moved higher as investors reassessed the inflation and policy outlook amid renewed geopolitical uncertainty.	
Helped Carry remained the primary contributor to returns.	
Hurt Curve positioning detracted as yields rose over the month.	
Outlook We continue to expect at least one further ECB rate increase this year, with September the most likely timing and largely priced by markets. The July meeting was best characterised as a hawkish hold, with President Lagarde preserving optionality for further tightening while highlighting ongoing upside risks to inflation.	

Past performance and forecast is not a reliable indicator of current and future results.

Fund Overview

Investment objective

The Sub-Fund aims to provide current income while seeking to maintain a low volatility of principal.

Trading information

Stock exchange	Exchange ticker	Trading currency	Bloomberg ticker	Reuters RIC	Sedol
Deutsche Borse	JEST	EUR	JEST GY	JEST.DE	BFX1Y13
London Stock Exchange	JSET	GBP	JSET LN	JSET.L	BFX1XX8
Borsa Italiana	JEST	EUR	JEST IM	JEST.MI	BFZPFB0
SIX SWISS	JEST	EUR	JEST SW	JEST.S	BFWDQ25
SIX SWISS	JEST	EUR	JEST SW	JEST.S	BFWDQ25

Month in Review

- **Front-end yields moved materially higher** over the month as investors reassessed the inflation outlook following the renewed escalation of geopolitical tensions. German six-month government bond yields rose 11 basis points to 2.42%, while one-year yields increased 19 basis points to 2.60%. Further out the curve, two-year yields rose 29 basis points to 2.82%; three-year yields increased 32 basis points to 2.84%; and five-year yields climbed 35 basis points to 2.94%.
- **Credit markets remained resilient**, with spreads tightening modestly over the period. The Bloomberg Euro 1-5 Year Corporate Bond Index option-adjusted spread finished the month 2 basis points tighter at 65 basis points.
- **As euro yields sold off following the re-escalation** of the US-Iran conflict, we added back to duration, ending the month at 0.72 years to lock in higher yields.
- **On credit, we remain selective.** Geopolitical risks and fluid markets keep us up in quality, but with recession risk limited we are comfortable staying in select credit with a carry mindset. Spread duration ended the month at 0.92 years.

Looking Ahead

- **Our base case remains that the ECB will deliver at least one further rate increase this year**, with September representing the most likely timing and an outcome that is now largely reflected in market pricing.
- **The July meeting can best be characterised as a hawkish hold**, with President Lagarde maintaining clear optionality around further policy tightening and highlighting upside risks to the inflation outlook.
- **Looking ahead, the policy path will depend** on both the magnitude and persistence of the energy-price shock and, critically, whether higher energy costs begin to feed through into broader wage and price-setting behaviour.

Opinions, estimates, forecasts, projections and statements of financial market trends are based on market conditions at the date of the publication, constitute our judgment and are subject to change without notice. There can be no guarantee they will be met.
All data is sourced by J.P. Morgan Asset Management and is correct as at the date of this commentary.

Performance and positioning

%	1M	3M	YTD	1Y	3Y	5Y	Since inception
Fund	0.11	0.68	1.21	2.10	3.23	2.04	1.19
Benchmark	0.20	0.49	1.18	2.01	2.78	1.80	0.86
Excess return (geometric)	-0.09	0.19	0.03	0.09	0.43	0.24	0.33

%	2025	2024	2023	2022	2021	2020	2019
Fund	2.57	3.98	3.35	-0.48	-0.38	-0.19	0.23
Benchmark	2.14	3.50	2.87	-0.31	-0.71	-0.61	-0.56
Excess return (geometric)	0.42	0.46	0.46	-0.17	0.33	0.42	0.80

Past performance and forecast is not a reliable indicator of current and future results.

Source: J.P. Morgan Asset Management. Share class performance is shown based on the NAV (net asset value) of the share class with income (gross of shareholder tax) reinvested including actual ongoing charges excluding any entry and exit fees. Performance over one year is annualised. Performance is shown based on the NAV which may not be the same as the market price of the ETF. Individual shareholders may realize returns that are different to the NAV based returns. Share class inception date is 06.06.2018.

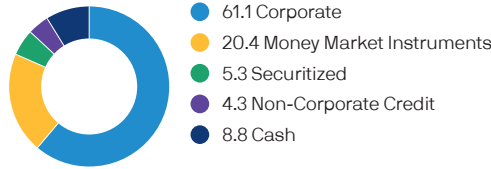
Holdings

TOP 10	Sector	Maturity date	% of assets
Government of Germany (Germany)	Government	15/11/29	2.3
DNB Bank (Norway)	Corporate	21/9/27	2.0
Amazon (United States)	Corporate	16/3/28	1.4
DNB Bank (Norway)	Corporate	18/1/28	1.4
Citigroup (United States)	Corporate	8/10/27	1.3
Bank of America (United States)	Corporate	25/4/28	1.2
ANZ Group Holdings (New Zealand)	Corporate	23/9/27	1.2
UniCredit (Italy)	Corporate	15/7/30	1.1
Government of France (France)	Government	25/2/29	1.0
Goldman Sachs (United States)	Corporate	17/2/29	1.0

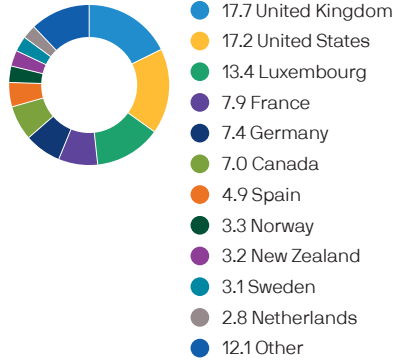
Number of holdings

263

Sector breakdown (%)



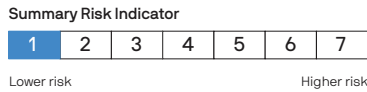
Country breakdown (%)



RISK PROFILE

The value of debt securities may change significantly depending on economic and interest rate conditions as well as the credit worthiness of the issuer. Issuers of debt securities may fail to meet payment obligations or the credit rating of debt securities may be downgraded. These risks are typically increased for below investment grade debt securities which may also be subject to higher volatility and lower liquidity than investment grade debt securities. The credit worthiness of unrated debt securities is not measured by reference to an independent credit rating agency.

Asset-backed, collateralised loan obligations and mortgagebacked securities may be less liquid than other securities in which the Sub-Fund will invest, subject to adverse changes to interest rates and to the risk that the payment obligations relating to the underlying assets are not met.



The risk indicator assumes you keep the product for 1 year. The risk of the product may be significantly higher if held for less than the recommended holding period. In the UK, please refer to the synthetic risk and reward indicator in the latest available key investor information document.

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